

NIRVANA – Master Specification

Volume 6: Withdrawal & Decumulation Engine

Objective

Design an institutional-grade withdrawal engine that maximizes portfolio longevity while allowing users to sustainably enjoy accumulated wealth.

Inputs

Portfolio holdings, acquisition dates, tax lots, capital gains, age, retirement status, goals, monthly cash-flow needs, inflation, market conditions, liquidity needs and expected life expectancy.

Withdrawal Hierarchy

Evaluate cash, liquid funds, dividends, debt funds, bonds, gold, equity and alternative assets before recommending an optimized withdrawal sequence.

Optimization Rules

Minimize taxes, avoid unnecessary exit loads, maintain target allocation, preserve long-term growth assets, manage sequence-of-returns risk and maintain emergency reserves.

Bucket Strategy

Bucket 1: 2–3 years expenses in cash/liquid funds. Bucket 2: 3–7 years in debt. Bucket 3: 7+ years in growth assets. During bear markets consume Bucket 1 and 2 before selling equity.

Dynamic Withdrawals

Support fixed amount, inflation-adjusted, guardrail and percentage-of-portfolio withdrawal methods with annual review.

Lifestyle Sustainability

Calculate probability of maintaining current lifestyle, expected corpus depletion age, sustainable monthly withdrawal and required spending adjustments.

Dream Purchase Simulator

Estimate impact of major purchases on retirement corpus, goal delays, withdrawal sustainability and net-worth trajectory.

Outputs

Monthly, quarterly and annual withdrawal plans showing exact instruments, withdrawal amounts, rationale, tax impact and projected remaining corpus.